

State of Indian economy on the eve of independence

Sequence of Events

I	Introduction of the railways in India by the British	1850
II	Opening of the Suez Canal	1869
III	Various details about the population of British India were first collected through a census	1881
IV	The Tata Iron and Steel Company (TISCO) was incorporated	1907
V	Second stage of demographic transition in India	1921

Definitions of KEY TERMS

- 1. Commercialisation of agriculture:** Change in the cropping pattern from food crops to commercial crops/cash crops is called commercialisation of agriculture. It implies production of crops for the market rather than for self-consumption i.e. family consumption.
- 2. Capital goods industry:** Capital goods industry means the industry which can produce machine tools which are, in turn, used for producing articles for current consumption.
- 3. Life Expectancy:** Life Expectancy is defined as number of years, on an average an individual is expected to live.
- 4. Occupational Structure:** It refers to the distribution of working persons across different industries and sectors – agriculture, manufacturing and services sectors.
- 5. Morbidity :** It is the propensity to fall ill. It affects a person's work by making him/her temporarily disabled.

Prolonged morbidity may lead to mortality. **Morbidity** rate refers to the number of people who have a disease compared to the total population.

- 6. Mortality rate :** The word 'mortality' refers to the annual number of deaths (from a disease or in general) per 1,000 people.
- 7. Infant Mortality Rate :** It is the number of deaths of infants before reaching the age of one, in a particular year, per 1,000 live births during that year.
- 8. Maternal Mortality Rate :** It is the relationship between the number of maternal deaths due to childbearing by the number of live births or by the sum of live births and foetal deaths in a given year.
- 9. Land/Revenue Settlement:** It refers to different systems in which revenues were to be collected from each parcel of land – (i) system of permanent settlement, which is also known as the zamindari system (ii) ryotwari system (a system of revenue settlement entered into by the government with individual tenants) (iii) mahalwari system (a system of revenue settlement entered into by the government with a mahal).
- 10. Agricultural Productivity:** Agricultural Productivity refers to output per hectare of land.

Q.1 What was the focus of the economic policies pursued by the colonial government in India? What were the impacts of these policies?
(NCERT) (3)

Ans. The economic policies pursued by the colonial government in India were more concerned with the protection and promotion of the economic interests of their home country than with the development of the Indian Economy.

Such policies brought about a fundamental change in the structure of the Indian economy – transforming the country into (i) supplier of raw materials, and (ii) and consumer of finished products from Britain.

Q.2 The traditional handicrafts industries were ruined under the British rule. Do you agree with this view? Give reasons in support of your answer. **ANS (NCERT) (4)**

Ans. India was well-known for its handcraft industries in the fields of cotton and silk textiles, metal and precious stone works etc. These products enjoyed a world wide market because of (i) reputation of the fine quality of material used and; (ii) high standards of craftsmanship seen in all imports from India.

However, during the British rule, the country's world famous handcraft industries were ruined, which not only created massive unemployment in India but also a new demand in the Indian consumer market — increasing imports of cheap manufactured goods for Britain.

Q.3 State the two-fold motive for the systematic destabilisation of indigenous Indian industries in the British era. **(3)**

Ans. Two-fold motive behind systematic destabilisation of indigenous Indian industries in the British era was.

- To get raw material from India at cheaper rates to be used for upcoming modern industries in Britain.
- To sell finished products produced by the British industries in Indian market at higher prices.

Q.4 "During the British colonial rule, despite being the occupation of about 85% of India's population, the agriculture sector continued to experience stagnation and, not infrequently, unusual deterioration. Agricultural productivity became low." Do you agree? What were the main causes of India's agricultural stagnation/low productivity during the colonial period? **(6)**

Ans. The given statement is correct. During the British colonial rule, India's agricultural sector experienced stagnation and low productivity. The main causes of India's agricultural stagnation and low productivity are:

- (1) Various systems of land/revenue settlement introduced by the colonial government, particularly the zamindari system. • The profit went to the zamindars instead of the cultivators. However, government and zamindars did nothing to improve the condition of agriculture. • The main interest of the zamindars was only to collect rent regardless of the economic condition of the cultivators.
- (2) Low levels of technology, lack of irrigation facilities and negligible use of fertilizers – all contributed to the low level of agricultural productivity.

(3) Absence of adequate infrastructure – Lack of investment in terracing, flood-control, drainage and desalinisation of soil.

(4) Even commercialisation of agriculture couldn't help farmers in improving their economic condition. Instead of producing food crops, now they were producing cash crops which were to be ultimately used by British industries back home.

Q.5 "India could not develop a sound industrial base under the British colonial rule. Even as the country's world famous handicraft industries declined, no corresponding modern industrial base was allowed to come up to take pride of place so long enjoyed by the former." **(6)**

In the light of the above statement, critically appraise some of the shortfalls of the industrial policy pursued by the British colonial administration.

Ans. Some shortfalls of the industrial policy pursued by the British colonial administration are as follows:

- (1) Industrial development remained very slow.
 - Initially, this development was confined to the setting up of cotton and jute textile mills.
 - Subsequently, the iron and steel industries began coming up in the beginning of the 20th century. e.g. TISCO was incorporated in 1907. A few other industries in the fields of sugar, cement, paper, etc. came up after the second world war.
- (2) Lack of capital goods industries – There was hardly any capital goods industry to help promote further industrialisation in India.
- (3) Low growth rate – The growth rate of the new industrial sector and its contribution to GDP remained very small.
- (4) Very limited area of operation of the public sector – railways, power generation, communications, ports and some other departmental undertakings.

Q.6 Comment upon any two salient features of the foreign trade policy of India, on the Eve of Independence. **(4)**

OR

Indicate the volume and direction of foreign trade of India at the time of Independence. **(4)**

OR

What do you understand by the drain of Indian wealth during the colonial period? **(3)**

Ans. Salient features of foreign trade policy of India, on the eve of independence, were:

- (1) Britain's monopoly over trade – British maintained monopoly control over India's exports and imports. More than half of India's foreign trade was restricted to Britain while the rest was allowed with a few other countries like China, Ceylon (Sri Lanka) and Persia (Iran)

Q.6 India as exporter of raw material and importer of finished goods – India became an exporter of primary products such as raw silk, cotton, wool, sugar, indigo, jute, etc and an importer of finished consumer goods like cotton, silk, and woollen clothes and capital goods like light machinery produced in the factories of Britain.

Ans. (3) India had huge export surplus during the colonial rule. But this surplus came of a huge cost to the country's economy – export surplus did not result in any flow of gold or silver into India. Rather, this was used to make payments for the office expenses in Britain, expenses on war, and the import of invisible items. All of these led to the *drain of Indian wealth*. Secondly, Several essential commodities – food grains, clothes, kerosene, etc. were scarcely available in the domestic market.

Q.7 Give a quantitative appraisal of India's demographic profile during the colonial period. (NCERT) (4)

Ans. Salient features of India's demographic conditions during the British colonial rule:

- (1) High Birth Rate and High Death Rate: Various details about the population of British India were first collected through a census in 1881. Second stage of demographic transition began after 1921.
Due to absence or lack of adequate public health facilities, water and air-borne diseases were rampant. Life expectancy was also very low – 44 years (in contrast to the present 69 years).
- (2) High Infant Mortality Rate: The infant mortality rate was quite alarming – about 218 per thousand in contrast to the present infant mortality rate of 33 per thousand.
- (3) Low level of Literacy: Overall literacy level was less than 16%. Out of this, female literacy level was only about 7%.
- (4) Prevalence of Rampant Poverty and Unemployment – which contributed to the worsening profile of India's population of the time.

Q.8 Highlight the salient features of India's pre-independence occupational structure. (NCERT) (4)

Ans. The occupational structure of India on the eve of independence had the following two main features:

- (1) Predominance of agriculture sector: The agricultural sector accounted for the largest share of workforce with approximately three-fourth of the workforce depending on agriculture, directly or indirectly.
- (2) Growing regional variation: Due to rise of manufacturing and services sector in some parts of India (like the then Madras, Bombay and Bengal Presidencies) the dependency ratio of workforce on agricultural sector declined.

Q.9 Were there any positive contributions made by the British in India? Discuss. (NCERT) (4)

Ans. Yes, the positive contributions made by the British in India are stated below:

- (1) Introduction of the railways in India: It was considered as the most important contribution of the British. It enabled people to undertake long distance travel and thereby break geographical and cultural barriers.
- (2) Construction of modern roads: Prior to the British rule, there was an acute shortage of all weather roads to reach out to the rural areas during the rainy season. The British constructed modern roads in India.
- (3) Development of the inland trade and sea lanes
- (4) Introduction of electric telegraph and postal services

Q.10 "Under the colonial regime, basic infrastructure such as railways, ports, water transport, posts and telegraph develop. However, the real motive behind infrastructure development was not to provide basic amenities to the people but to subserve various colonial interests." (4)

What objectives did the British intend to achieve through their policies of infrastructure development in India? (4)

Ans. The objectives that the British intend to achieve through their policies of infrastructure development in India:

- (1) The introduction of railways by the British fostered commercialisation of Indian agriculture, which adversely affected the self-sufficiency of the village economies in India. The benefits of exports surplus did not accrue to the Indian people. It was used to make payments for office expenses in Britain, war expenses, etc.; all of which led to the drain of Indian wealth.
- (2) The roads that were built primarily served the purposes of mobilising the army within India and drawing out raw materials from the country side to the nearest railway station or the port to send these to England or other foreign destinations.
- (3) The inland waterways, at times, proved uneconomical as in the case of the coast canal on the Orissa coast, which had to be ultimately abandoned.
- (4) The introduction of the expensive system of electric telegraph in India served the purpose of maintaining law and order by the British colonial government. The postal services, despite serving a useful public purpose, remained all through inadequate.

Q.11 The economic challenges before India at the time of independence were enormous. Do you agree? Underscore some of India's most crucial economic challenges at the time of independence. (6)

Ans. The given statement is correct. Some of India's most crucial economic challenges at the time of independence were:

- (1) Low level of economic growth and development – The country's growth of aggregate real output was less than 2% p.a coupled with about 0.5% p.a. growth in per capital output.

- (2) The agricultural sector had surplus labour with extremely low productivity. Agricultural productivity was extremely low due to low levels of technology, lack of irrigation facilities, negligible use of fertilisers, etc.
- (3) The industrial sector was crying for modernisation, diversification, capacity building and increased public investment. There were only a few industries in the fields of cotton and jute textile, iron and steel, sugar, cement, paper, etc. There was hardly any capital goods industry to help promote industrialisation in India.
- (4) Foreign trade was oriented to feed the industrial revolution in Britain. British maintained a monopoly control over India's exports and imports. Huge export surplus generated from India's foreign trade was used to make payments for office expenses in Britain, war expenses, etc.; all of which led to the drain of Indian wealth.

OBJECTIVE TYPE QUESTIONS

- _____ is one of the main positive contribution made by the British in India.
 - Opening of _____ Canal significantly reduced the cost of transportation of goods between Britain and India.
 - India entered the _____ stage of Demographic Transition after the year 1921.
 - fourth
 - second
 - third
 - first
 - Read the following statements - Assertion (A) and Reason (R). Choose one of the correct alternatives given below:
 Assertion (A): India became an exporter of primary products and an importer of finished consumer and capital goods produced in Britain.
 Reason (R): Restrictive policies of commodity production, trade and tariff pursued by the colonial government adversely affected the structure, composition and volume of India's foreign trade.
 Alternatives:
 - Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
 - Both Assertion (A) and Reason (R) are true and Reason (R) is not the correct explanation of Assertion (A).
 - Assertion (A) is true but Reason (R) is false.
 - Assertion (A) is false but Reason (R) is true.
 - Read the following statements - Assertion (A) and Reason (R). Choose one of the correct alternatives given below:
 Assertion (A): Britishers destroyed indigenous handicraft market in India
 Reason (R) : India was made market for British manufactured products
 Alternatives:
 - Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
 - Both Assertion (A) and Reason (R) are true and Reason (R) is not the correct explanation of Assertion (A).
 - Assertion (A) is true but Reason (R) is false.
 - Assertion (A) is false but Reason (R) is true.
 - Both Assertion (A) and Reason (R) are true and Reason (R) is not the correct explanation of Assertion (A).
 - Assertion (A) is true but Reason (R) is false.
 - Assertion (A) is false but Reason (R) is true.
6. Read the following statements - Assertion (A) and Reason (R). Choose one of the correct alternatives given below:
 Assertion (A): During British rule, India saw huge drain of wealth
 Reason (R): India generated large export surplus during the period
 Alternatives:
 - Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
 - Both Assertion (A) and Reason (R) are true and Reason (R) is not the correct explanation of Assertion (A).
 - Assertion (A) is true but Reason (R) is false.
 - Assertion (A) is false but Reason (R) is true.
7. Read the following statements - Assertion (A) and Reason (R). Choose one of the correct alternatives given below:
 Assertion (A): During the British colonial rule in India, Britishers built roads extensively to cover the nation.
 Reason (R): Roads were built by Britishers primarily to mobilise army.
 Alternatives:
 - Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
 - Both Assertion (A) and Reason (R) are true and Reason (R) is not the correct explanation of Assertion (A).
 - Assertion (A) is true but Reason (R) is false.
 - Assertion (A) is false but Reason (R) is true.
8. Read the following statements relating to industrial sector during British rule and choose the correct sequence of these statements.
 (i) Cheap imports of British manufactured goods increased in the country.
 (ii) The growth rate of Industrial sector was very small.
 (iii) India was reduced to be mere exporter of raw material.
 (iv) India faced shortage of locally made goods.
 Alternatives:
 - (i), (ii), (iii), (iv)
 - (iv), (iii), (ii), (i)
 - (iii), (iv), (ii), (i)
 - (iii), (iv), (i), (ii)
9. Read the following statements relating to foreign trade during British rule and choose the correct sequence of these statements.
 (i) India was exporter of products like raw silk, cotton etc.
 (ii) Britain maintained monopoly control over India's foreign trade.
 (iii) India generated large export surplus
 (iv) Exports did not result in any flow of wealth into the country.
 Alternatives:
 - (i), (ii), (iii), (iv)
 - (iv), (iii), (ii), (i)
 - (ii), (i), (iii), (iv)
 - (iv), (i), (ii), (iii)
10. Read the following statements relating to demographic condition of India during British Rule and choose the correct sequence of these statements.

- (i) Overall mortality rate was very high
 (ii) Water and airborne diseases were rampant
 (iii) Public health services were either unavailable or were inadequate
 (iv) Infant mortality was at alarming level

Alternatives:

- (a) (i), (ii), (iii), (iv)
 (b) (iii), (ii), (i), (iv)
 (c) (ii), (i), (iii), (iv)
 (d) (iv), (i), (ii), (iii)
11. Arrange the following events of India before the independence in chronological order:
 (i) The opening of the Suez Canal
 (ii) Introduction of the railways
 (iii) Second stage of demographic transition
 (iv) Incorporation of the Tata Iron and Steel Company
12. Write the correct sequence of alternatives given in Column II by matching them with respective terms in Column I:

Column I	Column II
A. India's first official census	(i) less than 2%
B. Introduction of the railways in India	(ii) about 7%
C. India's annual growth rate of aggregate real output during colonial period	(iii) 1850
D. Female literacy level at the time of independence	(iv) 1881

13. Write the correct sequence of alternatives given in Column II by matching them with respective terms in Column I:

Column I	Column II
A. Focus of the economic policies pursued by the colonial government in India	(i) To use a large export surplus to make payments for the expenses incurred by an office set-up in British, expenses on war, and import of invisible items.
B. Motive of the British behind the systematic deindustrialisation in India	(ii) To reduce India to the status of a mere exporter of important raw materials for the upcoming modern industries in Britain.
C. Motive of the British behind infrastructural development in India	(iii) Protection and promotion of the economic interests of their home country then with the development of the Indian economy.
D. Motive of the British behind monopoly control over India's exports and imports	(iv) To subserve various colonial interests, e.g. mobilising the army within India and drawing out raw materials from the countryside to the nearest railway station or the port to send these to England.

14. The opening of the Suez Canal in 1869:
 (a) Raised the cost of transportation between Britain and India.
 (b) Intensified British control over India's foreign trade.
 (c) Reduced the cost of transportation and made access to the Indian market easier.
 (d) Both (b) and (c)

15. Under the British colonial rule, the agricultural production decreased. True/False? Give reason.
 16. One of the significant drawbacks of the industrial policy pursued by the British colonial administration was the very limited area of operation of the public sector. This sector remained confined only to the _____.
 17. India's demographic condition on the eve of independence was characterised by:
 (a) High level of literacy, high mortality rates, high life expectancy and high level of poverty.
 (b) Low level of literacy, low mortality rates, low life expectancy and Low level of poverty.
 (c) Low level of literacy, low mortality rates, high life expectancy and high level of poverty.
 (d) Low level of literacy, high mortality rates, low life expectancy and high level of poverty.
18. Name some notable economists who estimated India's per capita income during the colonial period.
 19. Name some modern industries which were in operation in our country at the time of independence.
 20. When was India's first official census operation undertaken?
 21. Which is regarded as the defining year to mark the demographic transition from its first to the second decisive stage?

Answer Key

- Introduction of Railways
- Suez
- (b) second
- (a) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A)
- (a) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
- (b) Both Assertion (A) and Reason (R) are true but Reason (R) is not the correct explanation of Assertion (A).
- (d) Assertion (A) is false but Reason (R) is true.
- (d) (iii), (iv), (i), (ii)
- (c) (ii), (i), (iii), (iv)
- (b) (iii), (ii), (i), (iv)
- (ii), (i), (iv), (iii)
- (iv), (iii), (i), (ii)
- (iii), (ii), (iv), (i)
- (d) Both (b) and (c)
- False: in absolute terms, the agricultural sector experienced some growth due to the expansion of the aggregate area under cultivation.
- railways, power generation, communications, ports and some other departmental undertakings.
- (d) Low level of literacy, high mortality rates, low life expectancy and high level of poverty.
- Dadabhai Naoroji, William Digby, V.K.R.V Rao and R.C Desai (Rao's estimates was considered very significant).
- Cotton and Jute textile industries iron and steel industries; sugar, cement, paper industries etc.
- 1881
- 1921